

9706/o/n/16 v13

1-C:

A: Different governments having different objectives is not linked with scarcity

B: This is incorrect as firms have access to limited resources, rather than having access to unlimited resources.

C: The basic economic problem is scarcity, which occurs when there are limited resources available to fulfill unlimited wants, as a result of which, choices have to be made, which results in "opportunity cost". And the fact that many resources have alternate uses represents that opportunity cost will exist.

D: This is incorrect as people's wants are "unlimited"

2-C:

We are interested in an option that results in a greatest rise in unemployment. Unemployment is most likely to increase when a move has been made to the market economy, since private producers, operating with the objective of profit maximization would only retain the most efficient ones, and lay off the others, in an attempt to cut costs.

Moreover, they also substitute labor with capital, to ensure efficiency, leading to a rise in "technological unemployment"

Additionally, the greatest fall in economic regulation will arise when the government control is reduced.

This result would only be achieved, when a move has been made from the planned economic system to the market economic system, thus making only C correct.

In all other options(A,B and D), there is an existence of public sector.

3-A:

A – Initially, the economy was operating inside the PPC curve shown through point "X", and this "actual" represents inefficient allocation of resources. And when, a move has been made towards the potential, this implies "efficient allocation of resources", or in other words, productive efficiency, thus making option A correct

B _ An increased emphasis on international trade would be present when the country is vowing to achieve the **un-attainable point**

C – Growth in the productive capacity of the economy represents a rightward shift in the PPC, which is not shown here.

D- New innovations and technology would again result in an outward shift in the PPC

4-D:

During a period of deflation, that is, a persistent and a sustained fall in the general price level of the economy, the Aggregate (monetary demand) falls.

There are three reasons of an increase in money demand:

- Transactions motive. The transactions motive for demanding money arises from the fact that most transactions involve an exchange of money. ...
- Precautionary motive. People often demand money as a precaution against an uncertain future. ...
- Speculative motive. Money, like other stores of value, is an asset

D- In a period of deflation, there will be a higher level of saving done, because of higher unemployment in the economy, as the economy experiences a downward multiplier effect in terms of a fall in incomes, output and employment. And, as a result of increased pessimism in the economy, individuals tend to save more rather than spending, which is explained through the function: store of value. This is why, key D becomes correct.

Unit of account or a measure of value represents that money is used to express the value of goods and services, assets and wealth in a standardized monetary unit, Medium of exchange represents the ability of money to facilitate transactions, and standard of deferred payments explains that money can be used to do credit purchases(all these functions do not explain this fall), thus making them incorrect.

5-A:

A: Effective demand is when the individuals have the willingness and ability, or in words, **sufficient income**, this is why A becomes correct

B : The consumer can purchase in any sector of the economy, be it, private sector or the public sector and still have an “effective demand”

C: Consumers being able to receive consumer surplus is not the case; consumers can buy from firms in a perfectly competitive market structure, that is, when PED is perfectly elastic, in the case of which the consumer surplus is zero, and still have an “effective demand”

D : Apart from willingness, there must be existence of sufficient income or ability as well, for demand to be effective

6-A:

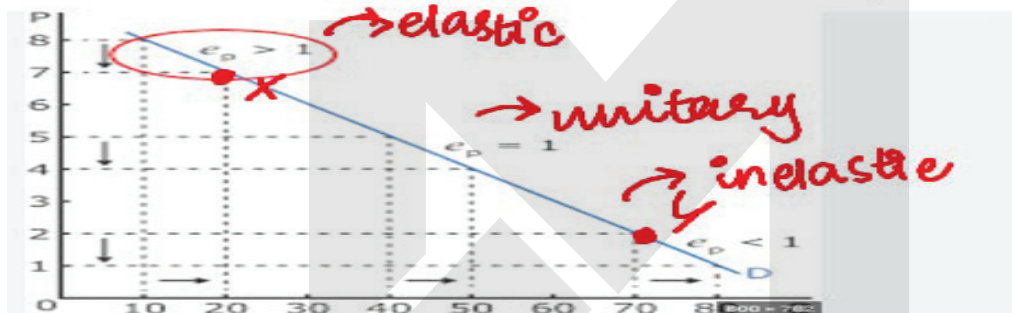
A – If firms leave the industry, the market supply curve will shift leftwards, thus making this option correct.

B _ The market supply curve would have only shifted rightwards if more firms would have entered the industry

C _ A downward movement along the supply curve would have only occurred because of a “fall in demand”

D _ An upward movement along the supply curve would have only occurred because of a “rise in demand”

7-B:



As we move down the linear demand curve that is move from point X to point Y, the value of PED “falls” from elastic to inelastic.

Whereas, at point Y as can be seen on the diagram above , the value of PED is “inelastic”,therefore making option B correct; no other option can be correct.

8-D:

Since the product is an inferior good, this means that it should have a negative value of income-elasticity of demand.

The fact that the product has no close substitutes means that the PED should be inelastic that is its value should be less than 1.

Moreover, due to it being a 'complement', the value of cross-elasticity of demand should be negative.

A-Option A shows that the product has an elastic demand as $PED > 1$, and is a normal good as YED has a positive sign, and also a substitute to good X as XED has a positive sign, making this incorrect.

B-This shows that even though the product is complement to good X, it is a normal good, and its demand is elastic, therefore making this wrong.

C-This does show that the product has an inelastic demand, and is also an inferior good, but it claims the product to be a substitute to good X, which makes it wrong.

D-The value of -0.5 of PED shows that the demand is inelastic, whereas the negative value of -2 of YED suggests that the good is an inferior good, and the negative value of -1 of XED suggests that it is a complement, therefore making this correct.

9-C:

* When price increases from 8 to 10 * % change in price of X: $\frac{10-8}{8} \times 100$ → 25% * % change in quantity demanded of Y: $\frac{30-20}{20} \times 100$ → 50% → $XED = \frac{50\%}{25\%} \Rightarrow 2.0$	* When price decreases from 10 to 8. * % change in price of X: $\frac{8-10}{10} \times 100$ → 20% * % change in quantity demanded of Y: $\frac{20-30}{30} \times 100$ → 33% $XED = \frac{33\%}{20\%} \Rightarrow 1.66$ * The range is 1.66 to 2.0 (Option C)
--	--

10-D:

Price elasticity of supply of 0.4 represents "inelastic supply"

A – The fact that firms are able to raise revenue by raising prices represents "inelastic demand", since there is a positive relationship between price and revenue in case of elastic demand.

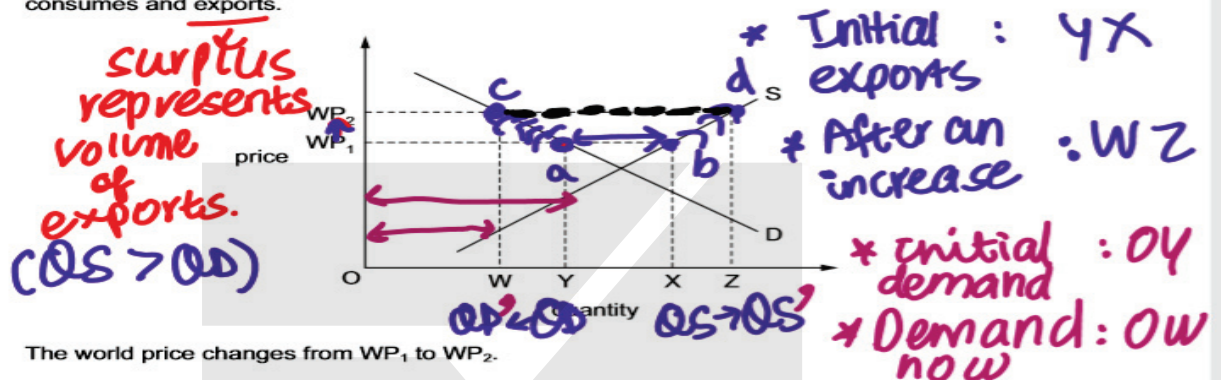
B- Few substitutes for the product again represents "inelastic demand"

C- Demand increasing at a slower rate than prices is again representative of "inelastic demand"

D – This is correct as this shows that the supply is less responsive to changes in prices as a result of changes in demand, which is cause of concern , therefore making this the right choice.

11-D:

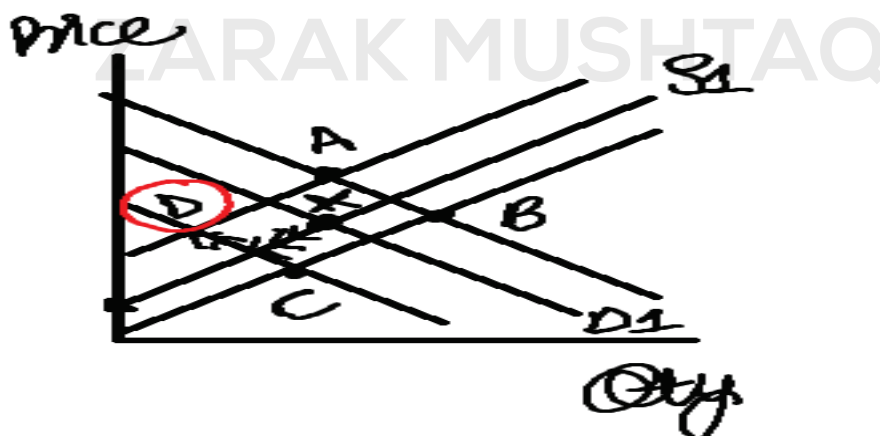
- 11 The diagram shows a country's domestic supply of, and demand for, a commodity that it both consumes and exports.



	domestic consumption	quantity of exports
A	OX to OZ	OY to OX
B	OX to OZ	OY to OZ
C	OY to OW	YX to OZ
D	OY to OW	YX to WZ

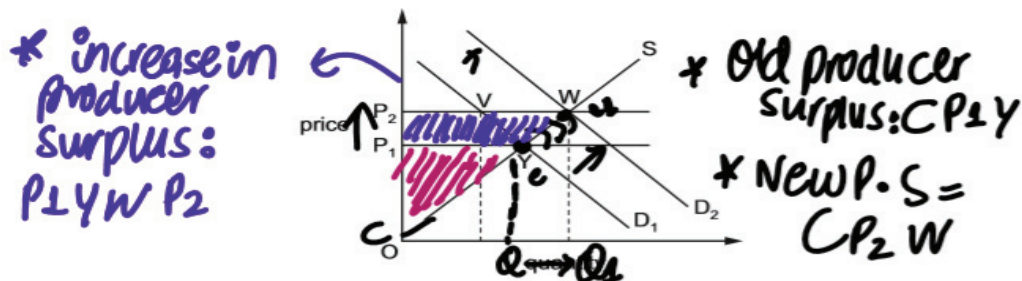
12-D:

Advertising is a marketing communication that employs an openly sponsored, on-personal message to promote a product, service or idea about benefits of a wheat free diet, will in the long-run cause the demand curve of wheat to shift leftwards(decrease). And removal of subsidies provided to the wheat industry will increase the cost of production of producers causing the supply curve to shift leftwards . Therefore ,a new equilibrium point from X to D will be achieved.



13-C:

13 The diagram shows an increase in the demand for a good from D_1 to D_2 .



What effect does the change in demand have on producer surplus?

- A decrease by P_1YWP_2
- B decrease by P_2VYP_1
- ☒ C increase by P_1YWP_2
- D increase by P_2VYP_1

Producer surplus is the difference between the minimum price a producer is willing to accept, and the price that he ends up charging, that is, the market price.

It is the area below the price level and above the supply curve.

14-C:

In order for a maximum price to be effective, it will have to be imposed below the equilibrium as it represents the maximum prices that can be charged by the producers, prices can fall, but not rise from this level.

In this question, maximum price imposed at price level 10 (that is above the equilibrium price) represents an ineffective maximum price. Because of this, prices cannot rise from this level but they can fall back from this level back to the equilibrium, thus making price control ineffective, and price mechanism functional.

c-Therefore, the quantity sold will be Q_2 that is the equilibrium price, because the maximum price was ineffective, and thus it fell back to the equilibrium. This is why, this option becomes correct.

a-The government would not need to supply from Q_1 to Q_3 because an ineffective maximum price would not result in shortages.

b-The maximum price is ineffective, therefore, the quantity sold should be Q_2 instead of Q_1 .

d-This is incorrect, because the quantity sold does not increase.

15-B:

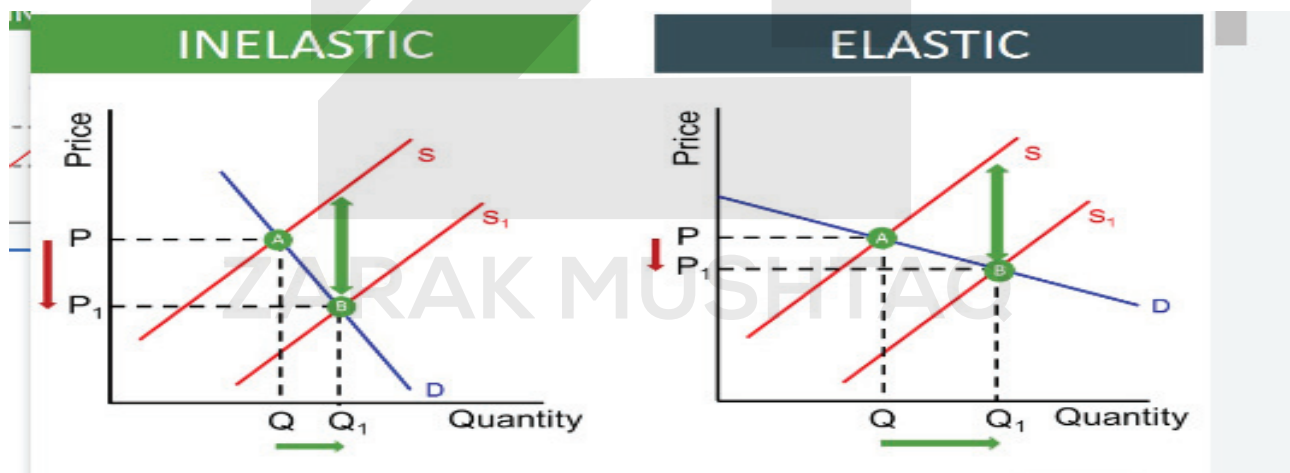
Equity is correct from the society's point of view

A , C , D– A reduction in direct taxes for example :income taxes , corporation taxes(profit taxes) or property taxes, that are “progressive” in nature ,in the case of which, the average rate of tax increases upon a rise in income , and which therefore, take up a greater proportion of the incomes of the rich, when removed, means that “rich now becomes richer”, reducing the level of “equity”

B- A reduction in indirect taxes that are regressive taxes, in the case of which, the average rate of tax falls upon a rise in income, which means that they take up a greater proportion of incomes of the poor ,means that basic necessity goods will become cheaper, and due to their inelastic demand, the qty demanded extends by a relatively smaller percentage, as a result of which, the total expenditure of them falls, means that equity increases as poor is now able to afford goods, This is why, this becomes correct

16-C:

- A- Subsidy does not result in an increase in demand.
- B- Subsidy is a financial incentive : a cash or a grant payment given by the government which reduces the costs of production of the producer, encourages them to increase supply, instead of a “leftward shift in the supply curve”
- C- Option C is correct as in case of elastic demand, a fall in price would bring an extension in qty demanded by a relatively higher percentage (which represents that there is a greater rise in sales), and subsequently a rise in Total revenue, this can also be seen in the diagram below.
- D- In case of inelastic price elasticity of supply, the producer would not be able to pass a higher benefit to consumers inform of lower prices, and how the qty demanded responds to it, depends upon “price elasticity of demand”



17-D:

A: Capital goods can be provided by both :the public sector in order to bring about technological improvements and also by the private sector.

B:Both the private sector and the public sector can provide inferior goods, for example: In some countries private sector is responsible for providing facilities of buses ,whereas in some countries, the government provides for it.

C: Merit goods including healthcare and education are provided by the private sector, and also the government involves itself in the **direct provision of merit goods** alongside private sector making this incorrect.

D:Public goods cannot be provided by the private sector due to the **free rider problem** that is when consumers are aware that even without paying for these goods , they can enjoy the equal benefits as those who pay for these goods due to non-excludability as even the non-taxpayers benefit from them, therefore it is difficult to set prices for these goods, and in other words there is no mechanism to charge prices for these goods, thus complete responsibility is under the government who raises funds through taxes, making this correct.

18-C:

- A- An increase in the number of privatizations did not result in an increase in privatization revenue, this is because in 1995, transactions were the highest but the revenue was not the highest
- B- The average revenue per privatization in 2000 was $75000/180$ i.e. 416.67. It is not the highest as in 2001 it is $30,000/60$ i.e. 500
- C- This is correct as till 2000, there was more of public offers, but after 2000, there was more of public sales.
- D- This is incorrect as in 1995, the revenue peaked, but privatizations did not peak.

19-A:

We are interested in an option that would result in a rightward shift in the Aggregate demand curve, and also, the Long Run Aggregate supply curve.

- A- An increase in government expenditure will increase Aggregate demand .Similarly increased investment in training will develop human capital, subsequently increasing the productive potential of the economy, causing the Long Run Aggregate supply curve to shift rightwards.
- B- An increase in government expenditure on pensions will increase purchasing powers of the retirees, resulting in an increase in consumption expenditure , and in turn Aggregate demand
- C- An increase in income tax after reducing disposable income would lead to a reduction in consumption expenditure, and in turn Aggregate demand
- D- An increase in interest rates after increasing the savings ratio, would reduce consumption expenditure, leading to a fall in Aggregate demand.

20-A:

A: An increase in CPI(Consumer Price Index)means that there has been an increase in average change in prices over time .CPI is used to measure inflation ,and track **changes in costs of living** over a given period of time. An increase in CPI represents inflation and this means that there has been an **increase in the cost of living over time** ,thus making this correct.

B: An increase in CPI implies the existence of inflation, however it may be that the rate by which general price level increases may be lesser, that is there may be an existence of dis-inflation in the economy. (Disinflation is a decrease in the rate of inflation – a slowdown in the rate of increase of the general price level of goods and services in a nation's gross domestic product over time.)

C: In a period of inflation in the economy, standard of living may decline if the rate of increase of nominal income (for e.g. : 10%) is lesser than the rate of inflation (for eg:15%). In such a case , real incomes fall by 5% representing that standard of living has fallen, thus making this incorrect.

D: Inflation brings about a fall in the real value or purchasing power of money, which is why this becomes incorrect.

21-D:

Rate of inflation:- $((\text{NEW CPI}-\text{OLD CPI}) / \text{OLD CPI}) \times 100$

In country X , the rate of inflation is 20%

In country Y, the rate of inflation is 7.1%

In country Z, the rate of inflation is 10%

A – In a period of inflation, the purchasing power or the real value of money declines, so X has the highest fall in the purchasing power of money since it has the highest rate of inflation

B – Since Y has the lowest rate of inflation, it has the lowest fall in the purchasing power or the real value of money

C_ This is incorrect as country Y has the lowest rate of inflation

D – Yes, this is correct as country Y has the lowest rate of inflation.

22-B:

A- Increased earnings of Australian's working in the New Zealand would lead to more money going out to Australia, and these outflows of primary incomes will lead to a worsening effect on the current account of New Zealand.

B- Increased earnings of New Zealander's working abroad however would result in an increased inflow of primary income in the current account, resulting in a surplus, making this correct

C- Increased spending by New Zealanders on holidays abroad would result in imports of services, as a result of which, there will be a greater outflow of money , resulting in an increase in deficit

D- Utilizing transportation facilities from the Chinese represents imports in services, as a result of which, there will be a greater outflow of money , resulting in an increase in deficit

23-A:

In-order to achieve an increase in exchange rate from 2.0 to 2.5, the government will increase the demand for currency artificially, that is, **it will purchase or buy the surplus of 10 billion pounds, because of which an exchange rate above the equilibrium will be achieved.**

24-B:

	% of trade performed	Exchange rate adjusted for changes	Trade-weighted exchange rate
Nigeria	80%	$100\% + 10\% \Rightarrow 110\%$	0.88
Malaysia	20%	$100\% + 50\% \Rightarrow 150\%$	0.3
		$1.18 \times 100 \Rightarrow 118$	<u><u>1.18</u></u>

25-A:

Terms of trade is the ratio of export prices to the ratio of import prices.

It is measured using:

$(\text{Export prices} / \text{Import prices}) * 100$

This is why none other than A can be correct

ZARAK MUSHTAQ

26-C:

$$\begin{array}{rcl}
 X \Rightarrow & \text{apples : bananas} & \\
 & 100 & 80 \\
 & 1 & : \quad 80 \\
 & \hline
 & 100 & \\
 & 1A: & 0.8\bar{6}
 \end{array}$$

comparative advantage in bananas.

$$\begin{array}{rcl}
 Y \Rightarrow & 50 : 25 & \\
 & 1 : 25 & \\
 & \hline
 & 50 & \\
 & 1A: & 0.5
 \end{array}$$

(comparative advantage)
lower opp. cost
ratio in apples.
→ specialize in apples

$$\begin{array}{rcl}
 Y \Rightarrow \text{produce apples} & \rightarrow & 50 \\
 & & \\
 X \Rightarrow \text{produce apples} & \rightarrow & 25 \\
 (100 \times 25\%) & & \\
 \hline
 \text{Total apples} & \rightarrow & 75
 \end{array}$$

$$\begin{array}{rcl}
 X \Rightarrow \text{bananas} & & \\
 (80 \times 75\%) & \Rightarrow & 60
 \end{array}$$

C is correct.

27-A:

- A- After a reduction in prices of imported goods because of for example: a fall in tariffs, the prices will reduce and since willingness remains the same, this means that "consumer surplus" rises
- B- Because of for e.g.: removal of tariffs, government revenue will reduce
- C- Because of a fall in the prices of imported goods due to a fall in tariffs, qty demanded extends by a smaller percentage, in case of key raw materials with an inelastic demand, as a result of which, there is a fall in import expenditures, and in turn a fall in costs, resulting in a fall in cost push inflation
- D- Due to existence of competition, domestic firms would have to lower costs, therefore revenues and in turn profits may decrease.

28-D:

A – A lower budget deficit occurs when government spending is lesser than tax revenue. A fall in government spending will result in a reduction in injections in to the circular flow, resulting in a fall in Aggregate demand, since it is a contractionary fiscal policy

B- A lower level of government spending would again dampen Aggregate demand, since it is a contractionary fiscal policy

C – A fall in money supply would put an upward pressure on the interest rate resulting in a rise in savings and subsequently a fall in consumption expenditure and in turn Aggregate demand. This represents contractionary fiscal policy.

D – A lower rate of interest would reduce the costs of borrowing, which will increase the investment expenditure, and in turn Aggregate demand, representing an "expansionary monetary policy"

29-B:

A – Because of “appreciation”, as imports become cheaper, which leads to an extension in qty demanded of imports, thereby resulting in a rise in import expenditures relative to export revenues which fall since export-oriented goods become relatively expensive, which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit.

B- Increasing foreign exchange controls is a tool of protectionism, which represents government control on the purchase or sale of currencies. When less foreign exchange can be obtained, there will be a reduction in imports that can be done, resulting in correction of a deficit

C – Reduced export subsidies would make exports uncompetitive, and a fall in export revenues would result in an increase in deficit

D _ Reduced subsidies in the home market means that costs would rise and in turn prices would increase of domestic products, and therefore individuals would switch to imported goods, leading to an increase in import expenditures, which will worsen the deficit.

30-A:

When an economy is close to full employment, this means either the Aggregate demand should reduce or Aggregate supply should increase, in order to reduce inflation

A – An increase in food subsidies would reduce costs of production, in turn leading to a rise in Aggregate supply. And, a reduction in import duties would reduce import expenditures and in turn costs, resulting in a rise in Aggregate supply.

B – Increased govt spending would lead to an increase in Aggregate demand, leading to demand pull inflation being exacerbated. And an increase in import duties after making imported goods expensive would result in a rise in import expenditures, and in turn costs, leading to an increase in “cost-push inflation”

C – Reducing govt spending on training would decrease productivity and efficiency of workers, resulting in a fall in Aggregate supply. And, a rise in indirect taxes would again result in a rise in costs and a fall in Aggregate supply

D - – Reducing govt spending on training would decrease productivity and efficiency of workers, resulting in a fall in Aggregate supply. And, a fall in rate of interest would decrease cost of borrowing, subsequently increasing investment expenditure, resulting in a rise in Aggregate demand.